STARDOM Ventures

Q2 2024 REVIEW

STARDOM VENTURES

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SUMMARY

- **2024 Highlights:**
  - 3 follow-ons investment in amount of $2.9M
  - Fair market value: $53M
  - Gross Multiple: 1.3x

- **Follow-On investments in 2024:**
  - Botika- $500K at a $13M pre-money valuation
  - Syte- $300K at a $1.4M pre-money valuation
  - Tedooo- $2.1M at a $22M pre-money valuation

ANNOUNCEMNETS

We are excited to welcome Yael Alroy as a Managing Partner at our fund.

Yael was a General Partner at Viola Ventures. Prior to Viola, Yael spent 5 years at Signals Analytics, where she led a team that developed and designed data analytics products for Marketing, Strategy and Product Innovation.

Yael received her M.Sc. in Molecular Biology at the Weizmann Institute, and her B.Sc. in Biotechnology, Magna Cum Laude, from Tel Aviv University. Her Masters thesis focused on the connection between cancer genetics and stem cells and culminated with a research project at Columbia University.

Yael's exceptional expertise, visionary leadership, and proven track record in the industry make you an invaluable addition to our team. We look forward to collaborating closely and to identify and support innovative ventures, drive strategic growth, and continue delivering results for our investors.

OUR VIEW OF THE MARKET

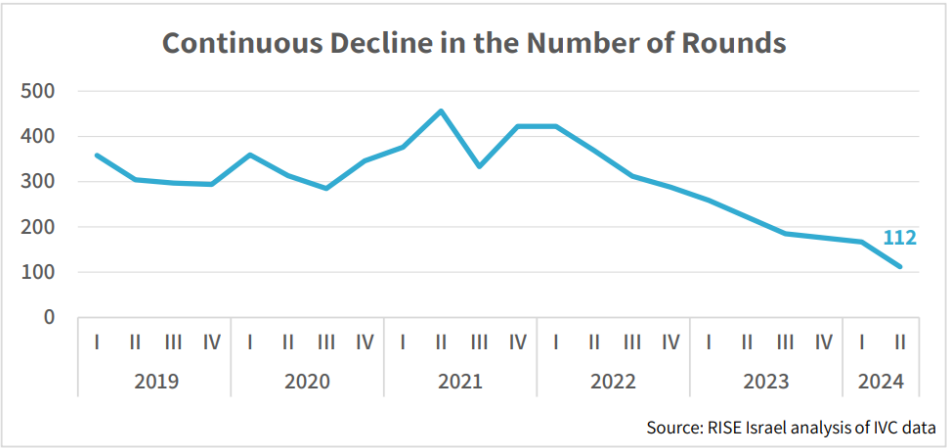
Q2 2024 Summary:

At the close of the second quarter of 2024, nine months have passed since the onset of the "Iron Swords" conflict and two years since the start of the global economic downturn.

Investment in Israeli companies, which peaked at $9 billion in Q4 2021, has steadily declined nearly every quarter until early 2023, when it stabilized at under $2 billion per quarter. The outbreak of war in Gaza in Q4 2023 caused a further drop in investment, but Q2 of 2024 has seen a notable increase.

The amount invested in the last quarter is the highest since the end of 2022. However, it is premature to declare a recovery, as 34% of the total investment went to a single company (Wiz), and 64% was concentrated in mega-rounds involving six companies. Without these factors, total investment in Q2 was approximately $1 billion.

The number of investment rounds in Israeli companies began to decrease in 2022.
Many investment rounds are often reported with a significant delay, meaning the data presented here is likely to be adjusted upward in the future. However, even accounting for this, the trend of a steady decline in the number of rounds has persisted.



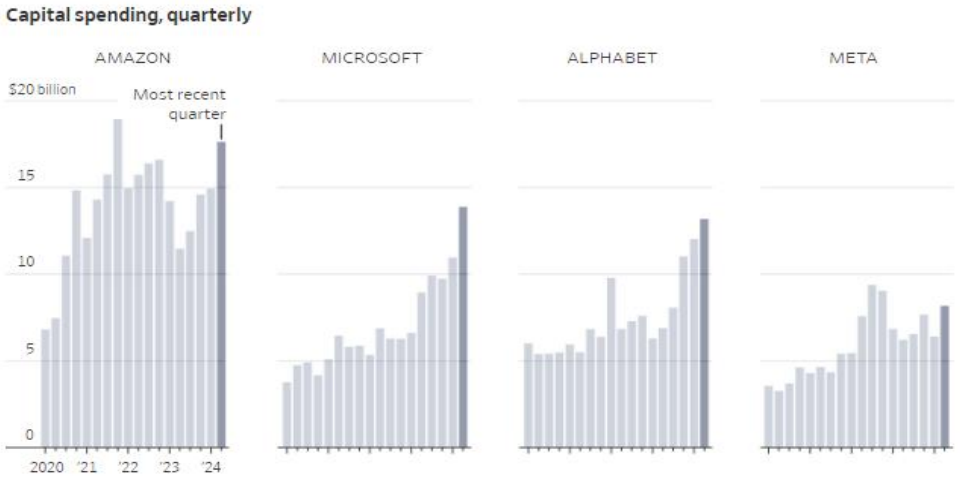
The AI Bubble?

The stock market has experienced a turbulent month, marked by a sharp downturn due to widespread selloffs driven largely by Wall Street's recession fears and persistently high interest rates. The AI industry was among the hardest hit, with stock prices taking a significant plunge.

The AI industry's reaction to the market fallout is significant, given how much money companies and investors have poured into the tech.

AI is expected to be a trillion-dollar industry, and with that kind of investment pouring in, the expectations are to see at least the kind of economic output that could better weather a market downturn. This is not the case as of today and to some experts, it rings the alarm bells.

We need to take into consideration that most of expenditure we are seeing today is capex investment that comes from a small number of hyperscale cloud providers and massive enterprises that are using AI to power their businesses like Microsoft, Meta, Google and Amazon. For these companies this is the next-gen cloud infrastructure that is a necessity for their business and will allow early-stage startups, like the ones that Stardom Ventures invest in to easily deploy AI solutions for the market.



In Alphabet's latest investor call Sundar Pichai, the CEO of Google, said that the company will continue to invest heavily in AI: “When you go through a curve like this, the risk of underinvesting is dramatically greater than the risk of overinvesting.”

Our estimates is that AI will continue to become the most important tech trend in the following years and that we'll see more and more case studies that will provide clear evidences about the massive disruption wave that we are see right now.

Our Portfolio:

Given the ongoing scarcity of funding options, our portfolio companies aiming to raise Series A rounds are encountering challenges in securing investors. The current economic climate has made it harder for early-stage companies to attract the necessary capital, as investors become more cautious and selective.

To navigate these tough conditions, we are diligently monitoring the financial health of our portfolio companies and working closely with them to explore every available avenue for funding. Our focus remains on ensuring that these companies have the resources they need to continue their growth trajectories, even in a constrained funding environment.

It is worth noting that exceptional companies always find a way to secure investment, no matter the broader economic circumstances. This month, we are pleased to announce Ludeo Raised $5M as a SAFE with cap of $300M and the successful completion of a Series A round for Tedooo. Tedooo's round was led by Corner Ventures from San Francisco, and we are particularly encouraged by the continued support from all existing investors who participated in the round. This successful raise is a testament to the strength and potential of our portfolio companies, even in these challenging times.

FINANCIALS

As of August, 2024

PORTFOLIO STATS

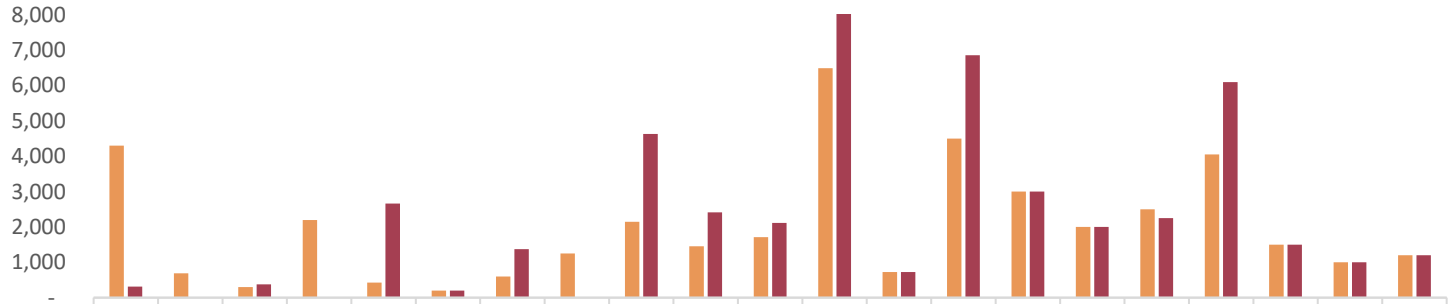
(In US thousands)

Fair market value	53,177	Number of First checks	21
Cost of portfolio companies	42,232	Avg amount of First checks	1,065
Gross Multiple (*)	1.3x	Number of Follow-ons	26
Number of exits	3	Avg amount of Follow-ons	764

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

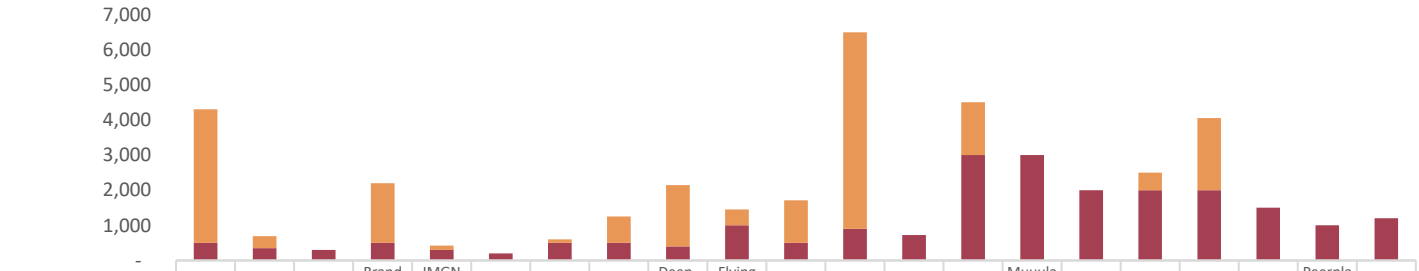
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Mapilim	Deep-dub	Flying Pigs	Nyk.	Ludeo	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo	Astrid	Peerplay	Oncecut
FMV	313	-	375	-	2,660	200	1,370	-	4,629	2,414	2,114	14,475	724	6,857	3,000	2,000	2,250	6,095	1,500	1,000	1,200
Cost	4,300	690	300	2,197	425	200	600	1,250	2,146	1,453	1,710	6,487	724	4,500	3,000	2,000	2,500	4,050	1,500	1,000	1,200
Holding %	5.3%	Dissolved	Exit	Dissolved	Exit	SAFE	Exit	Dissolved	5.8%	9.7%	7.2%	13.8%	7.8%	13.7%	18.8%	21.1%	13.2%	19.0%	SAFE	SAFE	SAFE
Multiple X	0.1	-	1.3	-	6.3	1	2.3	-	2.2	1.7	1.2	2.2	1	1.5	1	1	0.90	1.5	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



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Follow-on Investments	3,800	340	-	1,697	125	-	100	750	1,746	453	1,210	5,587	-	1,500	-	-	500	2,050	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000	1,500	1,000	1,200

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers.

UPDATE: In May 2024, the company raised $4.5 million in Series A Round, led by Pereg Ventures. This was at a very low valuation of $5.9M post. We decided to participate in the round as Pereg Ventures are working to stabilize the company and sell it within the next 48 months. The company still has an impressive customer list with brands like Walmart, EBAY and others and revenues of over $10M ARR, however it suffers from a high churn rate.

Series A Round: $500K at $1.4M pre-valuation (5.3%)

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and is looking for new verticals to penetrate in order to boost performance and profitability.

FLYING PIGS

ABOUT: Piggy is a mobile app that makes it easy and fun to create documents, presentations, web pages, invitations, and blog posts on a mobile phone, all enriched with visual storytelling features.

UPDATE: The company released a new app called Kwa-Kwa. Kwa-Kwa is a short mobile courses & workshops creation platform, that allows one-stop destination for engaging and enriching learning experiences. Users can either create their own course or find a world of knowledge via a curated selection of short courses and workshops, all conveniently tailored for mobile consumption.

PORTFOLIO UPDATE (cont.)

D E E P D U B

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: Deep dub has signed some major deals with Hollywood studios and beginning to generate more revenues according to its plan.

N O W Y O U K N O W .

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology.

UPDATE: The company accelerates its content production and offering and planning to have over 30 courses by the end of 2024.

N L I G H T

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies.

UPDATE: Due to the fact that the technology was blocked by Google, the company is pivoting to locate early stage opportunities in the field of gaming and invest in them.

PORTFOLIO UPDATE (cont.)

L U D E O

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

UPDATE: The Company raised from current and new investors $5M as a SAFE with CAP of $300M. In addition, the company signed its first deal with a triple-A (AAA) gaming publisher and is expected to launch the game in November. This is a major milestone in the evolution of the company and a vote of confidence from the market.

H U M A N Z

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

UPDATE: The company has over 20 paying customers in the US and is continuing its efforts to grow and expand in the US. The co-founder and CEO is moving to NYC to support the efforts to grow in North America and will step down from the CEO position to focus on this task and will be replaced by Liran Liberman who joined from Google.

M U U U L A

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: Michael, one of the founders is leaving the company from an active role and will become an advisor. The game development continues according to the original plan.

PORTFOLIO UPDATE (cont.)

T R E A T

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

UPDATE: Treat will reach a milestone of $5M ARR by the end of 2025 and it is constantly growing MoM. In addition, the company is experiencing some technical challenges as a result of the accelerated growth. The company is working to fix it and level up its R&D team as part of that.

B O T I K A

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

In February 2024, the company raised $4 million in Seed Round.

Seed Round: $500K at $13M pre-valuation (13.2%)

T E D O O O

ABOUT: Tedooo is the first B2B social platform customized for the trade world. The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

UPDATE: In August 2024, the company raised $8 million in Series A Round led by Corner Ventures with participation from all existing investors. The company is continuing its accelerated growth and the new funding will allow it to expand to the US market. **Results from the round will be reflected in the capital accounts and financial statements for Q3.**

Series A Round: $2.1M at $22M pre-valuation (19%)

PORTFOLIO UPDATE (cont.)

ASTRID ENTERTAINMENT

ABOUT: A gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV

UPDATE: The company is planning to release its alpha version of the product in the beginning of September.

PEERPLAY

ABOUT: A gaming company focused on Create and build brilliantly designed and masterfully executed mass market, category leading games that captivate and monetize players for years.

UPDATE: The game has been released in the US and working well. There are still some refinements needed to be made and a massive marketing campaign is planned for the beginning of 2025.

ONECUT.AI

ABOUT: The company mission is to use generative AI to mass produce authentic human-led video content and provide businesses a video content marketing machine

UPDATE: The company will release its first product in October.